UNITED STATES DISTRICT COURT
DISTRICT OF NORTH DAKOTA
EASTERN DIVISION

In re DMS Health Technologies, Inc., Data Breach Litigation	))	Case No. 3:23-cv-204

DMS HEALTH TECHNOLOGIES, INC.'S MOTION TO DISMISS AND MEMORANDUM IN SUPPORT OF ITS MOTION TO DISMISS PLAINTIFFS' AMENDED CONSOLIDATED COMPLAINT

Defendant, DMS Health Technologies, Inc. ("DMS"), through its respective attorneys of record, submits this Motion to Dismiss and Memorandum in support of its Motion to Dismiss Plaintiffs Stacy Kolkind's ("Kolkind") and Constance Boyd's ("Boyd") (collectively "Plaintiffs") Amended Consolidated Class Action Complaint ("Amended Consolidated Complaint") pursuant to Fed. R. Civ. Pro. 12(b)(6) and Fed. R. Civ. Pro. 12(b)(1).

I. INTRODUCTION

Plaintiffs filed separate class action lawsuits after they received notice from Defendant, DMS Health Technologies, Inc. ("DMS"), that it discovered a potential data security event on April 23, 2023, which may have involved certain of their Private Information. (Dkt. 36). Just like the original pleadings, there is again no allegation (and there will be no evidence) that any information about either Plaintiff or any putative Class Member is in the hands of the criminals or has otherwise been exposed to third-parties as a result of the reported event. Rather, Plaintiffs allege in the Amended Consolidated Complaint that the unauthorized actor "had the ability to access certain information" and that the criminals had "the intent of engaging in the misuse of Private Information." (Id. at ¶¶ 5-6).

Defendants moved to dismiss the twelve-count Original Consolidated Complaint on various grounds. Rather than responding to that Motion to Dismiss, Plaintiffs sought and received leave to file an Amended Consolidated Complaint. The only substantive difference between the two pleadings is that Plaintiffs did not attempt to replead four counts that were clearly subject to dismissal. That said,

Plaintiffs did not add any new materially allegations of consequence and dismissal of all eight counts of the Amended Consolidated Complaint is warranted. Instead, Plaintiffs' Amended Consolidated Complaint again asserts a classic "kitchen sink" pleading approach that contains eight counts. All eight counts warrant dismissal under Fed. R. Civ. P. 12(b)(1) and 12(b)(6) due to Plaintiffs' allegations failing to establish standing for any claim or sufficiently state any claim. These counts consist of one statutory claim under North Dakota Central Code § 51-22-02 in addition to seven different common law tort claims, contractual claims, and theories of equitable relief.

In short, Plaintiffs have not alleged a case or controversy under Article III, and their claims do not establish the requisite elements under any relevant law or statute. The North Dakota statutory claim must fail because it requires an active disclosure or affirmative release on the part of a Defendant which is not satisfied when the allegation is that a third-party criminal accessed or stole the information in an alleged data breach. The negligence claim fails to allege a duty. Plaintiffs' three contract claims – breach of implied contract, implied covenant of good faith and fair dealing and third-party beneficiary of a contract – all fail as there is no express contract and some of these causes of action either do not exist in the absence of an express contract or are not recognized at all in the relevant states. The invasion of privacy claim is not clearly recognized in North Dakota and the allegations do not support a claim under other states' laws. The unjust enrichment claim is improper as DMS received no additional benefit for allegedly possessing Plaintiffs' Private Information. The Declaratory Relief claim fails as Plaintiffs seek a declaration based on a hypothetical set of facts. Therefore, all counts of the Second Amended Complaint should be dismissed with prejudice pursuant to Fed. R. Civ. P. 12(b)(1) and 12(b)(6).

II. SUMMARY OF PLAINTIFFS' ALLEGATIONS

On September 14, 2024, Plaintiffs filed this Amended Consolidated Complaint on behalf of themselves and purportedly on behalf of a nationwide putative class, a Wisconsin Subclass, and a Minnesota Subclass consisting of all individuals within the United States "whose PHI was exposed to unauthorized third-parties as a result of the alleged data breach discovered by [DMS] on or around April 23, 2023." (Dkt. 36, ¶ 27). Plaintiff Kolkind, an alleged Texas citizen, purports to bring this

matter on behalf of a Wisconsin subclass "whose Private Information was exposed to unauthorized third-parties as a result of the event discovered by Defendant on or around April 23, 2023." (Id. at ¶ 28). Plaintiff Boyd additionally purports to bring this matter on behalf of a Minnesota subclass "whose Private Information was exposed to unauthorized third-parties as a result of the data breach discovered by Defendant on or around April 23, 2023." (Id. at ¶ 29). Plaintiffs' central allegations of wrongdoing against DMS are that it failed to take steps to adequately safeguard their and Class Members' Private Information and failed to provide timely and accurate notice to them and other Class Members that their Private Information was compromised due to a data breach. (Id. at ¶ 44-51).

Plaintiffs allege that they, like Class Members, were required to provide certain Private Information to DMS or DMS's clients in order to receive healthcare services. (Id. at ¶ 48). They contend that DMS is a North Dakota corporation with its principal place of business in West Fargo, North Dakota. (Id. at ¶ 26). They allege that "upon information and belief," unauthorized third-party cyber criminals gained access to Plaintiffs' and Class Members' Private Information "hosted" with DMS and that these cyber criminals acted with intent to misuse their and Class Members' Private Information. (Id. at ¶ 6). They allege that the "undoubtedly nefarious third party" intends to "profit off this disclosure by defrauding Plaintiffs and Class Members in the future." (Id. at ¶ 9). Plaintiffs assert that they and Class Members had a reasonable expectation that DMS would implement safeguards to protect their Private Information. (Id. at ¶ 48).

Boyd, a citizen and resident of Minnesota residing in Hinckley, Minnesota, was a patient of Essentia Health Sandstone, which is a client of DMS. (Id. at ¶¶ 22-23). She alleges that in order to obtain medical services from DMS, Boyd was required to provide certain "highly sensitive personal and health information." (Id. at ¶ 108). She received notice of the Data Breach via a letter dated October 17, 2023. (Id. at ¶ 109). Boyd's allegations surrounding her claimed damages are presented theoretically as she alleges that: 1) she was injured by the "material risk to future harm"; 2) that this risk is "imminent and substantial"; 3) that there is a "high risk of identity theft or fraud"; and 4) fraud is likely, "given Defendant's clientele, that some of the Class's information ... has likely already been misused." (Id. at ¶ 114). Further, Boyd alleges that she has been injured in the form of "lost time

dealing with the consequences of the Data Breach," the "diminution in value of her Private Information," "increased anxiety" due to the alleged disclosure and "imminent and impending injury" including the "increased risk" of identity theft and fraud. (Id. at ¶¶ 113-117). Importantly, Boyd does not allege that she has suffered any out-of-pocket expenses or that the types of injury she fears have actually occurred. (See, Id., generally).

Kolkind, a resident and citizen of Texas residing in Mission, Texas, was a patient of Mayo Clinic in Wisconsin, a client of DMS. (Id. at ¶ 15-16). She alleges that she provided her Private Information to Mayo Clinic between March of 2012 and June of 2021. (Id. at ¶ 88). Kolkind received notice that her Private Information was potentially exposed via a letter dated September 25, 2023. (Id. at. ¶¶ 95-96). She alleges that a hacker gained access to her email account on or around April 22, 2023. (Id. at ¶ 92). Kolkind also contends that "she noticed several unauthorized transactions on her Tremendous prepaid card, totaling at least $190." (Id.). Kolkind alleges that on or around April 23, 2023, her "Southwest Airlines voucher (valued at $200), was redeemed for the full amount without her knowledge or permission." (Id. at ¶ 93).

Kolkind asserts the following damages occurred as a result of the alleged data breach: 1) a "concrete and substantial risk of future harm"; 2) "time and energy spent monitoring her accounts"; 3) "invasion of privacy"; 4) "loss of benefit of the bargain"; 5) "lost time spent on activities remedying harms resulting from the Data Breach"; 6) "lost opportunity costs associated with attempting to mitigate the actual consequences of the Data Breach"; 7) "diminution of value of her Private Information"; 8) "the continued and increased risk of fraud and identity theft"; 9) "fear, anxiety, and stress" as a result of the Data Breach; and 10) time and money spent monitoring her accounts, including her family's purchase of a $24.99/month credit monitoring service. (Id. at ¶¶ 90, 100-105).

Based upon the foregoing, Plaintiffs assert the following causes of action: (1) Negligence; (2) Breach of Implied Contract; (3) Breach of the Implied Covenant of Good Faith and Fair Dealing; (4) Unjust Enrichment; (5) Breach of Contract: Third Party Beneficiary; (6) Invasion of Privacy; (7) Declaratory Relief; and (8) Violation of N.D. Cent. Code § 51-22-02. Plaintiffs purport to bring all of these causes on their own behalf and on behalf of the putative classes set forth above.

III. MOTION TO DISMISS STANDARD

DMS moves to dismiss the Amended Consolidated Complaint under Rule 12(b)(6) for Plaintiffs' "failure to state a claim upon which relief can be granted." Fed. R. Civ. P. 12(b)(6). To survive a motion to dismiss under Rule 12(b)(6), "a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.'" Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009) (quoting Bell Atl. Corp. v. Twombly, 550 U.S. 544, 570 (2007)). While "[t]he plausibility standard is not akin to a 'probability requirement,'" it does require "more than a sheer possibility that a defendant has acted unlawfully" and a complaint that only pleads facts "that are 'merely consistent with' a defendant's liability" will "stop [] short of the line between possibility and probability." Id. at 678 (internal citations omitted). Legal conclusions "must be supported by factual allegations" and a Court is "not bound to accept as true a legal conclusion couched as a factual allegation." Id. at 678-79 (quoting Bell Atl., 550 U.S. at 555); Finally, "threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice." And in "[d]etermining whether a complaint states a plausible claim for relief," the Court is required to "draw on its judicial experience and common sense." Id. at 679.

In ruling on a motion to dismiss under Rule 12(b)(6) this Court "may rely on materials 'necessarily embraced by the pleadings,' including exhibits attached to the complaint and matters of public record." Buckley v. Hennepin Cnty., 9 F.4th 757, 760 (8th Cir. 2021) (citation omitted); see also Kuhns v. Scottrade, Inc., 868 F.3d 711, 715 (8th Cir. 2017). "[W]hen a written instrument contradicts allegations in the complaint . . . the exhibit trumps the allegations." Elkharwily v. Mayo Holding Co., 955 F. Supp. 2d 988, 996 (D. Minn. 2013) (citation omitted). Here, DMS relies only on Plaintiffs' pleading and nothing outside the pleading (other than common sense) to attack Plaintiffs' Amended Consolidated Complaint. Accordingly, all citations to the docket herein are to Plaintiff's Complaint, which is Docket No. 36.

DMS also moves to dismiss Plaintiffs' claims for failing to establish standing under Fed. R. Civ. Pro. 12(b)(1). In order for a federal court to have subject-matter jurisdiction, a Plaintiff must establish the three Article III standing requirements: (1) the Plaintiff must have suffered an injury in

fact, (2) there must be a fairly traceable causal connection between the injury and the conduct complained of, and (3) it must be likely, as opposed to merely speculative, that the injury will be redressed by a favorable decision." McGowen, Hurst, Clark & Smith, P.C. v. Commerce Bank, 11 F.4th 702, 709 (8th Cir. 2021) (citing Sanzone v. Mercy Health, 954 F.3d 1031, 1046 (8th Cir. 2020)). An injury in fact requires "an invasion of legally-protected interest which is (a) concrete and particularized and (b) actual and imminent, not conjectural or hypothetical." Sierra Club v. Robertson, 28 F.3d 753, 758 (8th Cir. 1994). "Traceability requires proof of causation, a showing that the injury resulted from the actions of the defendant and not from the independent action of some third party not before the court"—that is, the injury is "fairly traceable to the challenged action of the defendant." McGowen, 11 F.4th at 709 (quoting Miller v. Thurston, 967 F.3d 727, 734, 735 (8th Cir. 2020)).

In diversity cases, such as this one, standing to sue under the relevant state law must exist in addition to Article III standing. Wolfe v. Gilmour Mfg. Co., 143 F.3d 1122, 1126 (8th Cir. 1998). Standing under state common law or statutory claims turns to the specific common law or statutory requirements of each type of claim advanced by Plaintiff. As discussed in detail below, the relevant states include North Dakota, Minnesota, and Texas

Plaintiffs seeking a declaratory judgment under 28 U.S.C. § 2201 must meet these same Article III standing requirements. McGowen, 11 F.4th at 709. There must be a concrete dispute between parties having adverse legal interests, and the declaratory judgment Plaintiff must seek "specific relief through a decree of a conclusive character, as distinguished from an opinion advising what the law would be upon a hypothetical state of facts." Maytag Corp. v. Int'l Union, United Auto., Aero. & Agric. Implement Workers of Am., 687 F.3d 1076, 1081 (8th Cir. 2012) (quoting Aetna Life Ins. Co. v. Haworth, 300 U.S. 227, 241, 57 S. Ct. 461, 81 L. Ed. 617 (1937)).

In the declaratory judgment context, the difference between an actual case or controversy and a hypothetical state of facts is a question of degree. Id. "Basically, the question in each case is whether the facts alleged, under all the circumstances, show that there is a substantial controversy, between

parties having adverse legal interests, of sufficient immediacy and reality to warrant the issuance of a declaratory judgment." Id. (quoting Md. Cas. Co. v. Pac. Coal & Oil Co., 312 U.S. 270, 273 (1941)).

IV. CONFLICTS OF LAW

This Court has very recently held that at the motion to dismiss stage in an alleged data breach class action, the Court should look to the laws of the forum jurisdiction and the states of citizenship of the Plaintiffs and analyze the common-law claims under the laws of all of those states and not perform a full conflicts of law analysis until the discovery stage. Quaife, 2024 U.S. Dist. LEXIS 92051, at *5. Here, DMS is alleged to be a North Dakota corporation with its principal place of business in North Dakota, Boyd a citizen of Minnesota and Kolkind a citizen of Texas. Oddly, Kolkind seeks, in the alternative of a nationwide class, to be the representative Plaintiff for a Wisconsin subclass consisting of all individuals "within Wisconsin" even though she is neither a Wisconsin resident nor citizen. "Named plaintiffs lack standing to assert claims under the laws of the states in which they do not reside or in which they suffered no injury." Insulate SB, Inc. v. Advanced Finishing Sys., 2014 U.S. Dist. LEXIS 31188, at* 34 (D. Minn. Mar. 11, 2014). Because Kolkind does not reside in Wisconsin, nor does she allege to incur any injuries within the state of Wisconsin, since she provided her data to DMS's client in 2021, she does not have standing to assert a Wisconsin subclass. Accordingly, for purposes of this motion, the common law claims will be analyzed under the laws of North Dakota, Texas and Minnesota pursuant to the Quaife Court's very recent instruction.

V. ARGUMENT

All eight of Plaintiffs' claims set forth in their Amended Consolidated Complaint must be dismissed with prejudice pursuant to Fed. R. Civ. P. 12(b)(1) and Fed. R. Civ. P. 12(b)(6). As described in detail below, Plaintiffs' allegations neither establish requisite standing, nor do they sufficiently state any claim.

1. Plaintiffs' Claims Must Be Dismissed Under 12(b)(1) Because They Do Not Allege Any Injury In-Fact Fairly Traceable to Any Action by Defendant.

This matter cannot be heard by this Court unless Plaintiffs have asserted an actual case or controversy. As explained, this requires an injury in fact that is concrete and particularized, not

speculative or hypothetical. Additionally, the cause of the injury must be traceable to the actions of Defendant, not a third-party. Neither Plaintiff Kolkind nor Plaintiff Boyd have established both of these factors.

A. Plaintiffs' Common Law and Statutory Claims Must Be Dismissed Under 12(b)(1) Because They Do Not Allege an Injury In Fact Fairly Traceable to Any Action by Defendant.

Plaintiffs' Amended Consolidated Complaint cannot support a finding of an injury in fact which is traceable to Defendant, rather than a third party. The Complaint starts out by asserting Plaintiffs' and Class Members' sensitive personal data including names, dates of birth, dates of service, physician names, and exam types were not reasonably secured, leading to damages. (Dkt. 36, ¶ 1). However, they later state that Plaintiffs are in the dark regarding what particular data was potentially accessed by the unauthorized actor. (Id. at ¶ 49). Similarly, at the beginning of their Complaint, Plaintiffs allege that that an "undoubtedly nefarious third party" sought to profit off the "disclosure" to them by defrauding Plaintiffs and Class Members in the future. (Id. at ¶ 9). Then, they proceed to allege that Plaintiffs and Class Members are "left to speculate" as to "who has used it, and for what potentially nefarious purposes." (Id. at ¶ 50).

VI. CONCLUSION

Based upon the arguments and authorities contained herein, Defendant DMS Health Technologies Inc., respectfully requests that this Honorable Court dismiss all counts of Plaintiffs' Amended Consolidated Complaint with prejudice pursuant to Federal Rules of Civil Procedure 12(b)(1) and 12(b)(6).

Respectfully submitted:

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on October 9, 2024, all counsel of record who are deemed to have consented to electronic service are being served a true and correct copy of the foregoing document using the Court's CM/ECF system:

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